

Research Evolution: Microsoft Corporation (MSFT)

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Edition A baseline to Edition B valuation conclusion | Prepared for Project 1

Company: Microsoft Corporation (NASDAQ: MSFT)

Currency and scale: USD; financial-statement amounts in millions unless stated otherwise

Edition A prepared: September 1, 2026 | First Git-frozen: September 3, 2026, commit 861e227

Edition B evidence through: September 29, 2026

Purpose and final position

Watch / defer. The recommendation did not change from Edition A. What changed is the quality and amount of evidence behind it. The valuation work supports a conditional view, not a point estimate or a recommendation to buy immediately.

Edition B estimates a five-year FCFF DCF value of \$541.74 per diluted share . The September 1, 2026 peer-P/E range is \$435.11 to \$556.30 per share , with a \$495.71 median reference.

The two methods are not averaged because they use different inputs and have different limitations. The principal condition for a more favorable call is evidence that AI-infrastructure capital spending can normalize without impairing cloud growth, margins, or cash conversion.

Edition A: frozen baseline

Original decision: Decide whether an investment committee should begin full fundamental valuation of Microsoft and, after that work, decide whether to initiate an equity position.

Initial thesis - Watch / defer. Microsoft merited full valuation work because FY2026 results showed cloud-led growth and a large contracted-revenue base. I did not have an intrinsic-value range, market-price comparison, normalized free-cash-flow forecast, or explicit analysis of AI-infrastructure capital intensity. The initial conclusion was an admission decision for research, not an investment recommendation.

Known facts at the baseline date

Item FY2026 baseline fact Source locator

Revenue \$331,839m; up 18% from FY2025 Microsoft FY2026 Form 10-K, Consolidated Statements of Income and MD&A

Operating income \$155,237m FY2026 Form 10-K, Consolidated Statements of Income

Cash and short-term investments \$76,843m at June 30, 2026 FY2026 Form 10-K, Balance Sheets

Total debt \$40,294m FY2026 Form 10-K, Balance Sheets and Note 10

Diluted weighted-average shares 7,453m for FY2026 FY2026 Form 10-K, earnings-per-share note

Azure and other cloud-services growth 41% FY2026 Form 10-K, Item 7 MD&A

Commercial RPO Up 84% to \$678bn FY2026 Form 10-K, Item 7 MD&A

Initial assumptions and uncertainties

The FY2026 Form 10-K was the appropriate primary baseline as of September 1, 2026.

Debt began at the June 30, 2026 carrying amount, subject to later review of other debt-like items.

Cash and short-term investments required an operating-cash assessment before any amount could be added to equity value.

Azure growth and RPO were useful indicators, but did not prove durable margin, free-cash-flow, or valuation support.

The central unresolved question was whether AI-infrastructure spending would absorb cash flow and pressure margins faster than cloud growth could create durable per-share value.

Baseline research plan

The baseline called for a historical operating model, a revenue-to-FCFF bridge, explicit revenue/margin/reinvestment assumptions, a documented enterprise-to-equity bridge, peer

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comparison, reverse DCF, and tests of cloud growth, margin, and capital-intensity reversal conditions.

Edition B: post-research valuation brief

What was completed

Workstream Result What it added

Five-year FCFF DCF and reverse DCF \$541.74 per diluted share; base WACC 8.0%; terminal growth 3.5% An explicit intrinsic-value estimate and a record of the growth path implied by the comparison price.

Peer P/E comparison \$435.11-\$556.30 implied range; \$495.71 median reference A market-based cross-check using Oracle and qualified Alphabet comparability evidence.

Five-year pro-forma Linked three-statement FCFE model with balance-sheet checks A cash-last model of revenue, margins, PP&E, depreciation, cash, and FCFE.

One-at-a-time sensitivity Revenue growth changed operating profit most; AI/cloud capex intensity changed FCFE and value most over the tested ranges A quantified test of the central AI-capex risk rather than a qualitative warning alone.

Valuation evidence and limitations

Method Result and date Main limitation

FCFF DCF \$541.74 per share; September 10, 2026 calculation Depends on FCFF growth, capex normalization, 8.0% WACC, 3.5% terminal growth, and cash/debt treatment.

Peer P/E \$435.11-\$556.30; September 1, 2026 prices and annual GAAP EPS Oracle and Alphabet have non-identical business mixes and fiscal year-ends. Alphabet is advertising-dominant and therefore qualified rather than a direct peer.

Pro-forma FCFE \$238.72 per diluted share in the Lab 11 base model This simplified FCFE model uses a different cash-flow definition and discount-rate convention. It is not averaged with the FCFF DCF.

Key sensitivity evidence

Output, FY2031E where applicable Revenue-growth span AI/cloud-capex-intensity span

Interpretation

Operating profit \$48,015.6m \$0.0m Revenue growth produces the larger operating-profit span over these stated ranges.

FCFE \$16,831.4m \$38,525.6m Capex intensity produces the larger cash-flow span because it directly changes reinvestment.

Value per diluted share \$21.12 \$64.37 Capex intensity produces the larger value span over these ranges. This is not a probability statement or a universal driver ranking.

A-to-B change record

Question Edition A Edition B What changed and why

Investment stance Watch / defer pending valuation work Watch / defer, now conditional and valuation-informed No material change in the recommendation. The basis changed from an incomplete research screen to a valuation conclusion with stated conditions.

Intrinsic value No per-share value claimed FCFF DCF: \$541.74/share Completed a five-year FCFF forecast, enterprise-to-equity bridge, and WACC/terminal-growth sensitivity.

Market cross-check No peer comparison P/E: \$435.11-\$556.30; median \$495.71 Selected and qualified peers based on recurring enterprise/cloud economics and annual GAAP EPS.

AI-infrastructure risk Qualitative concern about capex, margin, and cash-flow conversion

Quantified sensitivity: \$64.37 value span over stated capex-intensity ranges Built capex through PP&E, depreciation, cash, FCFE, and value in the linked model.

What could reverse the view Unspecified next-earnings evidence on data-center spending and future profit Cloud growth, margin recovery, capex normalization, and normalized

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enterprise-cloud peer comparison Converted the open question into observable monitoring conditions.

Primary driver and supporting tests

Primary driver of the change: coursework and personal analysis. The work moved from an initial filing-based thesis to modeled valuations, peer-policy analysis, a three-statement pro-forma, and sensitivity tests. AI-assisted drafting is separately disclosed in the project validation record; source facts and calculations should be checked against the filing, committed code, and executed outputs.

Test or evidence What it tested Result

FY2026 Form 10-K and MD&A Baseline revenue, debt, cash, diluted shares, cloud growth, RPO, margin pressure, and infrastructure investment Supported the initial thesis and identified capex normalization as the key evidence question.

DCF sensitivity and reverse DCF WACC, terminal growth, and growth expectations embedded in price Showed the DCF is sensitive to cash-flow recovery, discounting, and terminal assumptions.

Peer P/E leave-one-out Whether one higher-multiple qualified peer drives the reference value Removing Alphabet left Oracle's \$435.11 reference, \$60.60 below the two-peer median.

Pro-forma accounting checks Whether forecast balance sheets balance and cash remains above the floor The base and usable sensitivity scenarios recorded zero balance-sheet gaps and no revolver draw.

Locked changed-input sensitivity test Effect of changing one independent assumption at a time Confirmed the capex range produces the larger FCFE and value span over the selected ranges.

Conditional conclusion and next evidence

Watch / defer. Initiate only if updated results support capex normalization while cloud growth and margins remain consistent with the cash-flow path, and a consistently normalized enterprise-cloud peer comparison supports value above the market price. Otherwise, continue to watch/defer.

Monitor next: quarterly AI-infrastructure capital expenditure as a percentage of revenue, cloud growth, and cloud-margin recovery. These are the facts most likely to change the valuation conclusion.

Source and reproducibility index

Edition A source: research/reports/2026-09-01-initial-research.md ; first frozen in commit 861e227 .

Reverse-DCF report: research/reports/2026-09-10-msft-reverse-dcf.md .

Peer-P/E triangulation: research/reports/2026-09-17-msft-pe-triangulation-lab.md .

Pro-forma assumptions: research/reports/2026-09-24-lab-10-msft-history-and-assumptions.md .

Sensitivity output and validation: research/lab-11-sensitivity/lab-11-submission.md and research/lab-11-sensitivity/validation-check.md .

Primary filing: sources/filings/MSFT-FY2026-10-K.pdf .

Educational coursework only. This document does not provide investment advice.